MARKING SCHEME
KWAME NKRYMAH UNIVERSITY OF SCIENCE AND TECHNOLOGY
COLLEGE OF ENGINEERING

BSc. (Engineering) End of Second Semester Examination, 2005
Final Year
Agricultural, Computer, Electrical & Electronic, and Mechanical Engineering, and Chemistry

ME 492 – MANAGEMENT AND ENTREPRENEURSHIP DEVELOPMENT

29th April, 2005 **THREE HOURS**

INDEX # _____

COURSE: _____

ANSWER SECTION A ON THE QUESTION PAPER. Write the correct answer only against the question number on the question sheet. SECTION A WILL BE COLLECTED AFTER TWO HOURS. The total mark for Section A is 60.

SECTION A **2HRS**

Each item, 1 – 25, consists of either a question or an incomplete statement followed by three alternative answers or completions, numbered i, ii and iii. Of these one or two or all three may be correct. You are to select the alternative which correctly answer the question or correctly completes and use the following code to select the appropriate response.

Write	A	if i, ii and iii are correct
	B	if i and ii only are correct
	C	if i and iii only are correct
	D	if i only is correct
	E	if iii only is correct

1. Some of the main factors that lead to success for new ventures are
   i. A well written business plan, a first-rate product, a charismatic entrepreneur loaded with talents and a great idea,
   ii. A fat bank account, a demand for the product or service, a well written feasibility plan and a business ideology.
   iii. A good entrepreneurial team, a well-planned enterprise that pursues incremental change and growth, good timing and creating a business ideology to serve customers

   C

2. Contributions by these European economists have helped to evolve our present understanding of entrepreneurship:
   i. Carl Menger
   ii. John Stuart Mill
   iii. Jean Baptiste Say

   A

3. In the creative process, a person is said to be in verification stage when he/she
   i. applies or tests to prove that the idea has value.
   ii. embarks on a conscious search for bringing the idea to life.
   iii. has a sudden flash that idea has merit.

   D

KEY

A if i, ii and iii are correct
B if i and ii only are correct
C if i and iii only are correct
D if i only is correct
E if iii only is correct

4. Entrepreneurs are often thought to be "inspired" people, and perhaps they are, but more important, they recognize changes and opportunities that can result from a dynamic world. These sources of change are
   i. Demographic and Market changes
   ii. Scientific knowledge and Industrial revolution
   iii. Process innovation, Social and Cultural changes C

5. Many small businesses are small by
   i. their nature
   ii. the intention of the owner
   iii. their creation through legal contracts

   B

6. The brainstorming method for generating new product and venture ideas should be conducted using the following rules:
   i. No criticism is allowed by anyone in the group and free wheeling is encouraged.
   ii. Period for generating ideas is predetermined and ideas found without merit are discarded.
   iii. High quantity of ideas is desired and combinations and improvement of ideas are encouraged. C

7. Richard Cantillon, a French Economists, who is credited with given the concept of entrepreneurship a central role in economics, describes an entrepreneur as a person who
   i. consciously makes decisions about resource allocation
   ii. behaves with exceptional insight to fulfil society's needs
   iii. seeks higher yields for their money and materials B

8. As a Start-up business, advertising is a vital part of your concerns in your quest to compete. Advertising will seek to
   i. Make a satisfied customer
   ii. Sell to someone even if they cannot afford to
   iii. Convince someone to walk in your door E

9. Carl Menger described entrepreneurship as
   i. a force of "creative destruction"
   ii. a process with entrepreneurs as innovators
   iii. the process of converting resources into goods and services of value to consumers

   E

10. Marketing Communications or Integrated Marketing Communications seeks to
    i. Consolidate all communications to present to an individual, focussed marketing, sales or image message.
    ii. Use an assortment of communications forms to deliver a variety of messages about the product, service or company.
    iii. Develop a product, establish a price for it, communicates information about it and coordinates its distribution D

KEY

A if i, ii and iii are correct
B if i and ii only are correct
C if i and iii only are correct
D if i only is correct
E if iii only is correct

11. Integrating promotion into the marketing mix seeks to
    i. Increase sales
    ii. Build recognition
    iii. Build consumer loyalty

A

12. A feasibility plan is a written document
    i. which often integrates fundamental areas of businesses such as operations, marketing, finance, and human resources.
    ii. that describes all the relevant external and internal elements involved in starting a new venture
    iii. prepared by the entrepreneur

A

13. Distinguishing factors that differentiate entrepreneurs from small business persons are
    i. vision for growth and energy to achieve unusual results
    ii. taking individual risks and income substitution
    iii. commitment to constructive change and persistence to gather necessary resources

C

14. One of the initial important elements of information needed by the entrepreneur is
    i. the market potential for the product or service
    ii. basic operational needs such as manufacturing or operations and labour
    iii. an evaluation of the profitability of the venture

D

15. The executive summary is the part of the plan that is written
    i. to stimulate the interest of the reader
    ii. on about two or three pages
    iii. after the whole plan is written

A

16. A feasibility plan should be prepared by
    i. the entrepreneur alone
    ii. a consultant in consultation with the entrepreneur
    iii. the entrepreneur in consultation with specialists

E

17. Intrapreneurship is concerned with innovation that leads to new corporate divisions or subsidiary ventures in larger established firms. To achieve this, corporate managers
    i. combine resources in unusual ways to create innovative new products or services
    ii. take personal investment risks
    iii. commit time and energy and risk careers

C

18. In Drucker's view, the entrepreneur
    i. uses resources not merely to solve problems but also to take advantage of opportunities
    ii. engages in "creative disruption"
    iii. organizes industrial activity, matching demand with supply through commerce

D

KEY

A if i, ii and iii are correct
B if i and ii only are correct
C if i and iii only are correct
D if i only is correct
E if iii only is correct

19. Entrepreneurship has influenced economic development and productivity by
    i. altering the direction of national economies
    ii. introducing quantum leaps in technology and creating new means of production and new systems of services
    iii. forcing the reallocation of resources away from existing uses to new and more productive uses

A

20. Elements in the innovative process are
    i. organizing resources and analytical planning
    ii. idea germination, preparation and verification
    iii. implementation and commercial application

C

21. For technological innovation to succeed, the key people that should be involved are
    i. the inventor, the investor and the champion
    ii. the creative source, the entrepreneur and the financier
    iii. the champion, the creative source and the sponsor

E

22. Compared to other legal forms of business, the sole proprietorship has the singular advantage of simplicity. Other advantages include:
    i. Autonomy of control decision making and administration
    ii. Expanded network of contacts for assessing resources
    iii. Inexpensive as a form of business and self directing

C

23. A partnership, as a legal form of business has certain disadvantages which includes
    i. Business ends with the death or withdrawal of any partner
    ii. Unlimited legal liability for business by all parties
    iii. Limited access to external resources

B

24. Limited partners enjoy certain advantages over general partners that include
    i. Exemption from management responsibility
    ii. Profit and losses passed through to all partners
    iii. Investment can be sold or assigned

A

25. Directors of companies fulfil important roles beyond their decision-making duties that include:
    i. Serving as members of an expended social network
    ii. Mentors and Professional advisors
    iii. Disturbance Handlers and Resource allocators

B

Each item in the next section, (26 – 35), consists of two statements linked by the word because. The first statement (S1) is on the left side of the page and the second (S2) is on the right. Consider each of the statements on its own and decide whether it is true or false. If you consider both statements

to be true, decide whether the second statement is or is not a correct explanation of the first. Use the following code to select the appropriate response:

Write	A	if both statements are TRUE and the second is a correct explanation of the first
	B	if both statements are TRUE and the second is NOT a correct explanation of the first
	C	if the first statement is TRUE and the second is FALSE
	D	if the first statement is FALSE and the second is TRUE
	E	if both statements are FALSE

26.

10. Entrepreneurs dealing in low tech products should focus on products that can be made easily, marketed quickly, and terminated with a minimum of effort

because

Patents cannot protect low tech products and they can be copied or easily replicated by competitors.

11. W

A

27.

Entrepreneurs have to be inventive geniuses to pursue mid-tech innovations

because

Mid-tech products presume the application of new knowledge

E

28.

Differentiating high-tech from mid-tech products is largely a matter of perception

because

What is high-tech to some may be mid-tech to others

A

29.

New ventures establish in a market niche.

because

Companies try to establish segmentation strategies so that efficient use of resources can be achieved without ambiguity.

D

30.

Market research is a fundamental responsibility for planning a new venture.

because

A Market research will establish primarily if demand exists for a product or service.

A

31.

Feasibility plans are best prepared by specialists.

because

Specialist such as accountants know how to operate businesses

E

32.

Prices for goods and services must coincide with strategies that reinforce an entrepreneur’s business and reputation

because

Prices communicate perceptual messages to consumers

A

KEY

A if S1 is True, S2 is True and S2 is an explanation of S1
B if S1 is True, S2 is True and S2 is NOT an explanation of S1
C if S1 is True, S2 is False
D if S1 is False, S2 is True
E if both S1 and S2 are False

33.

Seed financing is needed prior to or during start-up of a new venture.	because	Seed financing is needed to underwrite operations, assets or business development.

A

34.

Intrapreuneur is a contrived word meaning a person who pursues an innovation, becoming a champion in its for its development within an organization	because	The word is from 'intra-company entrepreneur"

A

35.

A good way to fail quickly in a new business is to start without a clear vision.	because	A business without a clear vision shows a lack of planning.

A

In the following segment, choose the best answer

36. A market segment on which a business can choose to concentrate its efforts is known as a (an)
    a. economic zone
    b. shopping mall
    c. niche
    d. district
    e. mall

37. A time horizon during which opportunities exist before something else happens to eliminate them is known as a
    a. corridor
    b. window
    c. chance time
    d. crack
    e. none of the above

38. Setting up the specifications of one's primary clients can be described as a (an)
    a. directory
    b. clients' data
    c. bio-data
    d. customer scenario
    e. demographic information

39. Any person or organization that has an interest in, or can be affected by a business is called a
    a. vendor
    b. partner
    c. corporation
    d. proprietor
    e. stakeholder

40. The planned process of determining prices and how prices can be changed in the field for unusual circumstances is known as
    a. Price setting
    b. pricing policy
    c. price discounting
    d. costing process
    e. sale

41. A broad term applied to marketing tactics that serve to attract customers or inform them of product or service is known as
    a. advertisement
    b. publicity
    c. Personal selling
    d. sales
    e. promotion

42. A legal organization created through investments by two or more companies to pursue a commercial activity is known as
    a. partnership
    b. joint venture
    c. corporation
    d. limited liability company
    e. franchise

43. A person who is involved in a voluntary association with one or more other individuals and has operational responsibilities is called a
    a. Sole Partner
    b. Limited partner
    c. Sole proprietor
    d. General partner
    e. franchisor

44. A person or company that originates a business system and provides a package of services, products, training, inventory, and support to individual owners in return for a fee and royalties is a
    a. Franchisor
    b. Sole proprietor
    c. Franchisee
    d. Stakeholder
    e. Entrepreneur

45. A legal form of business created through law that empowers a business as a legal entity, has a perpetual life unimpeded by biological lifespan of investors is a
    a. company
    b. partnership
    c. franchise
    d. corporation
    e. limited partnership

46. A business system created by a contract between a parent company and an acquiring business owner, giving the acquiring owner the right to sell goods or services, to use certain products, names or brands or to manufacture certain products is called a
    a. franchise
    b. corporation
    c. franchisee
    d. franchisor
    e. general partnership

47. A person who starts a new business, taking the initiative and the risk associated with the new venture, and who does so by creating something new or by using resources in unusual ways to provide value to his or her customers is known as a (an)
    a. business man
    b. entrepreneur
    c. sole proprietor
    d. industrialist
    e. franchisor

48. Marketing research activities that are undertaken after a new venture opens its doors for business is called
    a. market planning
    b. competitive analysis
    c. marketing and sales
    d. competitive rivalry
    e. ending market research

49. The introductory or cover page of a business plan should contain information on the business and should include:
    a. location of business
    b. the executive summary
    c. financial summary
    d. a confidentiality clause
    e. none of the above

50. Prior to start-up, entrepreneurs can reduce financial burdens by
    a. planning assets carefully
    b. reducing the scope of work to be done
    c. cutting down on the planned capacity
    d. reducing the number of workers
    e. paying employees low salaries because it is a start-up venture

51. The main difference between market research analysis and market plan in a business plan is:
    a. market plan gathers the information and market research then uses it in a marketing strategy
    b. all of them describe the market characteristics
    c. existing and potential markets are described in market plan
    d. market research gathers the information and market plan then uses it in a marketing strategy
    e. all of the above

52. A careful selection of promotional methods consistent with a grand marketing strategy is called a
    a. mixed Marketing
    b. advertisement
    c. promotional mix
    d. publicity
    e. none of the above

53. The difference between the venture definition in the executive summary and the business concept in the main body of the business plan is that
    a. the venture definition names the business and states why it was founded while the business concept talks about the business evolution, nature of market demand.
    b. the venture definition is essentially a summary of the business concept.
    c. the business concept includes nature of the business and its technological profile.
    d. the venture definition describes the nature and purpose of the venture while the business concept goes into more details.
    e. all of the above

54. The objective of market research and analysis is to establish that a _____ exist for the proposed venture
    a. customer
    b. product
    c. competitor
    d. market
    e. place

55. A market niche is a carefully defined segment of a broader market that defines the _____ of a product or service to create a distinct marketing focus.
    a. existence
    b. positioning
    c. placement
    d. location
    e. options

56. Market research and analysis activities include
    a. product or service, its pricing, promotions and distribution
    b. description of a customer profile
    c. identify potential customers, evaluate markets, analyse competitors and describe assumptions
    d. product or service, its pricing, promotions and distribution, services and warrantees described and marketing leadership roles defined
    e. identify potential customers, analyse competitors and evaluate markets

57. The _____ describes an entrepreneur's intended strategy.
    a. distribution network
    b. market plan
    c. operations
    d. promotions
    e. financial documentation

58. The market research culminates in a _____ that establishes the volume and revenue expected from business operations.
    a. financial statement
    b. market plan
    c. sales forecast
    d. customer scenario
    e. market responsibilities

59. Depending on the nature of a business, a manufacturing or operation plan may not be required in the business plan but for ventures that require capital equipment, this section is important and should be made up of:
    a. facilities, inventory and operations
    b. equipment , technology, raw materials, human resources and operations
    c. operations, human resources, facilities, inventory and related issues
    d. legal and insurance, operations and related issues
    e. vendor relations, operations, suppliers, and related issues

60. A majority of new products evolve at the end of the technology spectrum as
    a. high-tech products
    b. mid-tech products
    c. natural products
    d. manufactured products
    e. low-tech products

61. Grant of property right by a government to an inventor is called a
    a. trade mark
    b. copyright
    c. patent
    d. service mark
    e. none of the above

62. There are two benchmark considerations for the start-up stage of any venture and they are
    a. meeting operating objectives and positioning the venture for long-term growth
    b. attaining projected sales and realising incremental growth
    c. making a profit and growing
    d. surviving and attaining projected sales
    e. creating a vision and positioning the venture for long-term growth

63. The membership of a Board of Directors for a new venture should be
    a. 5 – 7
    b. 5 – 9
    c. 5 – 12
    d. 6 – 12
    e. 4 - 14

64. A board of advisors serve a new venture in an advisory capacity. An example is
    a. an advertising agent and a market researcher
    b. a lawyer, a banker and a marketer
    c. the manager and the accountant
    d. a lawyer, a banker, an accountant and an advertising agent
    e. none of the above

65. After the legal form of business has been decided by the entrepreneur, the task of designing the organization begins. The first step is to decide on the
    a. organizational structure
    b. selection criteria
    c. training
    d. job analysis
    e. job specification

66. The organization must identify the major activities required to operate it effectively. This is done through
    a. job description
    b. job analysis
    c. job specification
    d. selection criteria
    e. none of the above

67. The entrepreneurial team is a very vital part of the management team of a new venture. It is responsible for
    a. building an organisation
    b. giving identity to the venture
    c. focusing on operational issues and immediate problems
    d. guiding the venture through change
    e. all of the above

68. The responsibilities of the founder are
    a. defining their business and identifying human resource requirements
    b. being responsible for the functional areas and managing the venture
    c. providing guidance and direction
    d. getting financing for the venture and sets the pace for development
    e. none of the above

69. A formal board of directors is required by law only for
    a. sole proprietorships
    b. partnerships
    c. incorporated companies
    d. limited liability companies
    e. all of the above.

70. Individuals within someone's immediate circle of daily relationships is known as
    a. loose ties
    b. personal network
    c. associations
    d. social network
    e. contacts

71. Selecting a legal form of business involves a decision with at least three important criteria namely:
    a. preferences of the entrepreneur, taxation issues and profile of the enterprise
    b. management issues, profile of the enterprise and succession issues
    c. preferences of the entrepreneur, profile of the enterprise and advantages and disadvantages of the legal business entity
    d. Financing issues, management issues and profile of the enterprise
    e. Taxation issues and succession issues

72. The marketing functions are
    a. price
    b. promotion
    c. distribution
    d. product
    e. all of the above

73. an expanded view of a company's product include
    a. function, form and packaging characteristics
    b. labelling, design and function
    c. function, form, packaging characteristics and service after sales support
    d. safety and use information, labelling and design
    e. none of the above

74. A marketing plan is implemented through a
    a. marketing activities
    b. marketing program
    c. marketing research
    d. marketing implementation
    e. none of the above

75. In the creative process, verification is
    a. Subconscious assimilation of knowledge
    b. recognition of idea as being feasible
    c. conscious search for knowledge
    d. organizing resources
    e. Application or test to prove that an idea has value

76. The main disadvantage of a sole proprietorship is
    a. the business ends with owner's death
    b. the business assets are personal assets
    c. personal expense item are tax deductible
    d. unlimited legal and financial liability
    e. income is undifferentiated from other income

77. A description of the future direction of a business is called
    a. a forecast
    b. a roadmap
    c. a guide
    d. a business plan
    e. none of the above

78. Pre-start-up activities for new ventures include
    a. business concept definition
    b. positioning the venture
    c. taking the company 'public'
    d. Keeping the rate of growth within a comfort zone
    e. None of the above

79. A prediction of what a company's financial statement will look like at the end of the forecast period is called
    a. A proforma statement
    b. A forecast statement
    c. A balance sheet
    d. A future statement
    e. An income statement

80. The entrepreneur is most knowledgeable person about the proposed business but since there are many ways to get help, the entrepreneur should leave the responsibility for planning the venture to
    a. a more experienced person in a profession
    b. a banker
    c. himself/herself
    d. an experienced business plan writer
    e. his administrator

81. The three major budget categories under the Master consist of operating budgets, capital budgets and
    a. strategic plans
    b. tactical budgets
    c. cash budgets
    d. financial statement budgets
    e. none of the above

82. The Master budget normally covers a
    a. five year time span
    b. three year time span
    c. one-year time span
    d. three month time span
    e. none of the above

83. _____ is a process that involves co-ordinating the finances of all areas of the new venture
    a. cost accounting
    b. financial accounting
    c. management accounting
    d. budgeting
    e. none of the above

84. Which of the following involves making decisions such as whether to buy or lease equipment
    a. strategic planning
    b. capital budgeting
    c. operating budgeting
    d. tactical budgeting
    e. none of the above

85. Continuous budgeting that utilises
    a. a 3-month reporting period
    b. a 6-month reporting period
    c. a 12-month reporting period
    d. a 3-year reporting period
    e. none of the above

86. Which of the following budgets is expected to be more specific
    a. tactical budgets
    b. operating budgets
    c. capital budgets
    d. strategic plans
    e. none of the above

87. Which of the following is intended for higher risks such as start up situations
    a. development capital
    b. replacement capital
    c. owners capital
    d. venture capital
    e. none of the above

88. The first step in the preparation of the operating budget is
    a. cash requirements
    b. inventory forecast
    c. sales forecast
    d. purchases forecast
    e. none of the above

89. A budget is
    a. prepared primarily as a planning function
    b. administered as a control function
    c. a statement of expected results or requirements expressed in financial or numerical terms
    d. all the above

90. The budgeting process normally begins with the preparation of
    a. operating budgets
    b. capital budgets
    c. financial statement budgets
    d. strategic budgets
    e. none of the above

91. _____ involves deciding which market niche should be profitable.
    a. operating budgeting
    b. strategic planning
    c. capital budgeting
    d. sales forecasting
    e. none of the above

92. The composition of the numerous separate but interdependent departmental budgets that cover a wide range of operating and financial factors such as sales, production, manufacturing expenses, and administrative expenses is known as
    a. operating budget
    b. master budget
    c. capital budget
    d. pro forma statements
    e. none of the above

93. Before developing the pro forma income statement, the entrepreneur should prepare the
    a. strategic plan and operating budgets
    b. strategic plan and capital budgets
    c. operating and capital budgets
    d. tactical and strategic budgets
    e. none of the above

94. _____ budgets are intended to provide a basis for evaluating expenditures that will impact the business for more than one year.
    a. operating
    b. capital
    c. strategic
    d. frontline
    e. none of the above

95. Projected cash available calculated from projected cash accumulations minus projected cash disbursements refers to
    a. cash budget
    b. sales budget
    c. pro forma income
    d. pro forma cash flow
    e. none of the above

96. _____ represents the amount owners have invested and or/ retained from the venture operations
    a. liability
    b. net worth
    c. asset
    d. investment
    e. none of the above

97. If short term financing is used by a new venture the funds are repaid from
    a. dividend
    b. fixed assets
    c. sales and profits
    d. cash budget
    e. capital

98. By far the most frequently used source of short-term funds by the entrepreneur when collateral available is
    a. Venture capital
    b. Commercial Bank
    c. Personal funds
    d. Development capital
    e. None of the above

99. Asset-based financing refers to
    a. debt financing
    b. equity financing
    c. internal funds
    d. external funds
    e. none of the above

100. Long term debt is frequently used to purchase some asset such as a piece of machinery, land, or a building, with part of the value of the asset usually from_____ to_____ percent of the total value being used as collateral.
    a. 40 to 60
    b. 50 to 75
    c. 50 to 80
    d. 70 to 90
    e. none of the above

101. When interest rates are low, _____ financing allows the entrepreneur to retain a larger ownership portion in the venture and have a greater return on equity.
    a. internal
    b. external
    c. equity
    d. debt
    e. none of the above

102. _____ is the term commonly used to describe the ordinary share capital of a business.
    a. equity
    b. asset
    c. liability
    d. bond
    e. none of the above

103. An obligation arising from the purchase of goods or services on credit is referred to as:
   a. account receivable
   b. account payable
   c. accumulated account
   d. note
   e. none of the above

104. Money due from an individual or another business as payment for the performance of services or the sale of goods on credit is known as:
   a. account receivable
   b. account payable
   c. accumulated account
   d. note
   e. none of the above

105. Which of the following does not require collateral and offers the investor some form of ownership position in the venture?
   a. debt financing
   b. equity financing
   c. vendor capital
   d. common stock
   e. none of the above

106. Government grants for a new business can be referred to as
   a. debt financing
   b. equity financing
   c. external fund
   d. internal fund
   e. none of the above

107. _____ are the least expensive funds in terms of cost and control, and also are absolutely essential in attracting outside funding, particularly from banks, private investors, and venture capitalists.
   a. funds from family and friends
   b. personal funds
   c. retained earnings
   d. none of the above

108. _____ is the integration and synchronisation of the various financial activities of a business in order that all its functions can work towards its common objectives.
   a. financial control
   b. financial planning
   c. financial organising
   d. financial co-ordination
   e. none of the above

109. _____ summarises the projected assets, liabilities, and equity of the new venture.
   a. pro forma income statement
   b. pro forma cash flow
   c. pro forma balance sheet
   d. pro forma accounting statement
   e. none of the above

110. Which of the following is true?
   a. information contained in the financial statement budgets is used to prepare the operating budgets.
   b. information contained in the operating budgets is used to prepare the financial statement budgets
   c. information contained in the tactical budgets is used to prepare the operating budgets.
   d. information contained in the operating budgets is used to prepare the strategic budgets.
   e. none of the above.

111. The component of equity in a business (company) representing accumulated profits in excess of losses and payments to owners is referred to as:
   a. dividend
   b. preferred stock
   c. common stock
   d. retained earnings
   e. none of the above

Use the following data to answer questions 112 through to 118.
Kaneapa Company Ltd sells lamps and other lighting fixtures. Its budget director has prepared the sales budget that follows. The company had a beginning balance of $60,000 in accounts receivable on October 1. The Kaneapa Company normally collects 100 percent of accounts receivable in the month following the month of sale.

	October	November	December
Sales Budget	$	$	$
Cash sales	20,000	22,000	24,200
Sales on account	45,000	49,500	54,450
Total budgeted sales	65,000	71,500	78,650
Schedule of Cash Receipts			
Current month's cash sales	**?**	**?**	**?**
Collections from accounts receivable	**?**	**?**	**?**
Total Budgeted Collections	80,000	67,000	73,700

112. Determine the accounts receivable for October
   a. $105,000
   b. $80,000
   c. $60,000
   d. $65,000
   e. $20,000

113. Determine the accounts receivable for November
   a. $45,000
   b. $67,000
   c. $71,500
   d. $82,000
   e. $105,000

114. Determine the accounts receivable for December
   a. $84,600
   b. $78,650
   c. $73,700
   d. $54,450
   e. $49,500

115. Determine the budgeted cash sales for October
   a. $65,000
   b. $45,000
   c. $80,000
   d. $20,000
   e. $60,000

116. Determine the budgeted cash sales for November
   a. $67,000
   b. $49,500
   c. $71,500
   d. $82,000
   e. $22,000

117. Determine the budgeted cash sales for December
   a. $54,450
   b. $24,200
   c. $73,700
   d. $78,650
   e. $84,200

118. Determine the amount of accounts receivable that will appear on the company's fourth quarter pro forma balance sheet.
   a. $220,700
   b. $215,150
   c. $138,650
   d. $78,650
   e. $73,700

Use the following data to answer questions 119 and 120.
GoldCom Corporation, which has three divisions, is preparing its sales budget. However, each division expects a different growth rate because the economic conditions vary in different regions of the country. The growth expectations per quarter are 2 percent for East Division, 3 percent for West Division and 5 percent for South Division.

Current Quarter	First Quarter ($)	Second Quarter ($)	Third Quarter ($)	Fourth Quarter ($)
East Division	520,000			
West Division	740,000			
South Division	340,000			

119. Determine the sales in the fourth quarter for the West Division
   a. $840,924
   b. $808,618
   c. $551,828
   d. $393,593
   e. none of the above

120. Determine the amount of sales revenue that will appear on the company's fourth quarter pro forma income statement
   a. $1,649,600
   b. $1,700,924
   c. $1,754,039
   d. $1,826,326
   e. none of the above

A.K. INTSIFUL
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